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Topic A: Combatting Structural Dependence in the Global Economy
Topic B: Transnational Forced Labor Scams and Migrant Exploitation

Topic A: Combatting Structural Dependence in the Global Economy

The Republic of El Salvador has had an economy dependent on foreign nations that dates back to the colonial age. El Salvador, along with a number of other Latin American countries, suffers from structural dependency. The Economic and Social Council(ECOSOC) is aware of structural dependency, and it has made it a priority as part of the 2030 Development Agenda.[1]

El Salvador is a peripheral country, and its economy is heavily dependent on more developed countries such as the United States. In 2021, nearly 40% of Salvadoran exports were sent exclusively to the United States, and $7 billion in remittances(93% of total remittances) came from Salvadorans residing in the United States.[2] In 2024, a whopping 24% of El Salvador's GDP(Gross Domestic Product) was represented from remittances, sent from nearly 80% of Salvadoran immigrants located in the U.S.[3] In addition, El Salvador's structural dependency stems from the official currency in El Salvador being the United States Dollar, adopted in 2001 due to inflation, inefficient governance and ineffective policies. Although dollarization has brought some stability, El Salvador lost the ability to control its monetary policy, meaning they do not have the ability to respond to any forms of economic crises. Consequently, El Salvador's dependence on the United States has increased tenfold, being extremely influenced by many American policies and fluctuations, leading to El Salvador's severe structural dependency.[4]

First, the delegation of El Salvador would like to strengthen productive capacity and diversify the economy, doing this by giving financial and technical assistance to small and medium-sized enterprises through ways including credit lines and productivity enhancement programs. The delegation also strives to cooperate internationally by partnering with the World Bank to support renewable energy and green industries, which diversify the economy and make it less dependent on external consumer income. Second, as remittances are such a huge part of the Salvadoran economy, the delegation would like to redirect remittances away from immediate consumption and into long-term investments in small and medium-sized enterprises, education, and housing. The delegation of El Salvador would like to use fiscal measures, including improved tax collection, supervised and more efficient spending, and emergency funds. With these measures, the Republic of El Salvador will certainly be able to handle economic crises

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[1] "Promoting Sustainable Development" in *United Nations - Economic and Social Council* https://ecosoc.un.org/en/what-we-do/promoting-sustainable-development
[2] "Global Financial Conditions and the Interest Rate Passthrough to El Salvador" in *International Monetary Fund* https://www.imf.org/-/media/files/publications/cr/2025/english/1slvea2025002-print-pdf.pdf
[3] "Remittances Equivalent to 24% of GDP Confirm El Salvador's High Economic Dependence" in *Dinero* http://dinero.com.sv/en/economy/remittances-equivalent-to-24-of-gdp-confirm-el-salvadors-high-economic-dependence/
[4] "Why Does El Salvador Use USD?" in *financialfocushub* https://www.financialfocushub.com/archives/9239

better, although they do not have control over their monetary policy. Finally, the delegation of El Salvador would like to reduce structural dependency on foreign, more developed countries, especially the United States. The delegation proposes to expand into newer markets globally as well as diversify trade and investments to stop relying on “center” countries. Additionally, the delegation proposes that El Salvador strengthens relations with fellow “periphery” countries in Asia, Africa, and Latin America to support regional industries and technology to enhance innovation and productivity of upcoming nations.

Topic B: Transnational Forced Labor Scams and Migrant Exploitation

El Salvador is the smallest and most densely populated country in Central America, with a population density of 307 people/km² and population exceeding 6 million people. Due to significant migration it has a net negative migration rate (-7.7%/ 1000 people).[5] Forced labor and human trafficking are some of the worst crimes occurring in the world, around 27.6 million people are trapped in forced labor situations globally.[6] While El Salvador has not been identified as a major hub for fraud factory operations, the country's population faces significant vulnerabilities that mirror the exploitation patterns seen globally.[7] The Vatican's Migrants and Refugees Section documents that 32% of Salvadoran households live in poverty, while 45% experience overcrowded living conditions, creating desperation that traffickers exploit through false promises of employment.[8]

According to the U.S. State Department's 2024 Trafficking in Persons Report, Salvadoran migrants are lured using social media by claiming to give them false employment or educational opportunities abroad. In 2023, El Salvador identified 40 trafficking victims and conducted over 22,000 labor inspections. They have strong laws, including the 2014 Special Law Against Trafficking in Persons, but like many developing countries, they need more resources to fully address the problem. The law criminalizes sex trafficking and labor trafficking with penalties of 10 to 14 years of imprisonment, increasing to 16 to 20 years when force, fraud, or coercion are involved.[9]

As the title suggests, Transnational Forced Labor Scams and Migrant Exploitation is not just one country's issue and cannot be solved in isolation; therefore, regional and global cooperation is needed to address the problem. El Salvador's 2019 adherence to the Regional Comprehensive Framework for Protection and Solutions (MIRPS) demonstrates commitment to multilateral approaches, while the National Council for Protection and Development of Migrants (CONMIGRANTES) provides an institutional framework for coordinating domestic efforts.[10] For G77 member states, El Salvador's experience illustrates the need to address root causes - poverty, informal employment, and lack of safe migration pathways - alongside strengthening legal frameworks and law enforcement capacity. Along with these, the delegation of El Salvador proposes a multi-part approach to fighting transnational forced labor scams. First, G77 countries need to share information and collaborate more effectively across borders to prevent scams. Second, The UN Special Rapporteurs have emphasized that countries must first protect victims

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[5] "El Salvador" in *The World Factbook - cia.gov*
https://www.cia.gov/the-world-factbook/countries/el-salvador/
[6] "Annual profits from forced labour amount to US $236 billion, ILO Report finds" in *International Labour Organization*
https://www.ilo.org/resource/news/annual-profits-forced-labour-amount-us-236-billion-ilo-report-finds
[7] "INTERPOL releases new information on globalization of scam centres" in *INTERPOL*
https://www.interpol.int/en/News-and-Events/News/2025/INTERPOL-releases-new-information-on-globalization-of-scam-centres
[8] "El Salvador" in *Integral Human Development*
https://migrants-refugees.va/country-profile/el-salvador/
[9] "2024 Trafficking in Persons Report: El Salvador" in *U.S. Department of State*
https://www.state.gov/reports/2024-trafficking-in-persons-report/el-salvador/
[10] "El Salvador" in *Integral Human Development*
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and then hold the real criminals accountable, El Salvador should adopt this approach. Third, developing countries (like El Salvador) need technical assistance to fight cybercrime, which is carried out by sophisticated online scamsters and the main way people fall to labor scams. Finally, El Salvador would like to create more opportunities within a country so that people will not be so interested and vulnerable to labor scams and exploits. The delegation of El Salvador proposes the creation of new infrastructure projects, educational opportunities, and research opportunities to create new job opportunities.

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